

Calendar Line 5

Case Name: Becerril v. Watersavers Irrigation, Inc. (Class Action)
Case No.: 23CV410334

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on April 9, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a class and representative action arising out of alleged wage and hour violations brought by plaintiffs Isaiah Becerril and Brian Cruz (collectively, “Plaintiffs”) against defendant Watersavers Irrigation, Inc. (“Defendant”). On January 25, 2023, Plaintiff Becerril initiated this action by filing a Class Action Complaint for Damages, setting forth several causes of action under the California Labor Code and one cause of action for violation of California Business & Professions Code, section 17200, *et seq.* (the Unfair Competition Law [“UCL”]). On June 29, 2023, Plaintiff Becerril filed a First Amended Complaint, setting forth a sole cause of action for violation of the UCL.

The operative Second Amended Class Action Complaint (“SAC”), filed on January 1, 2024, adds Mr. Cruz as a Plaintiff and sets forth the following causes of action: (1) Violation of California Labor Code, §§ 510 and 1198 (Unpaid Overtime); (2) Violation of California Labor Code, §§ 226.7 and 512, subd. (a) (Unpaid Meal Period Premiums); (3) Violation of California Labor Code, § 226.7 (Unpaid Rest Period Premiums); (4) Violation of California Labor Code, §§ 1194 and 1197 (Unpaid Minimum Wages); (5) Violation of California Labor Code, §§ 201 and 202 (Final Wages Not Timely Paid); (6) Violation of California Labor Code, § 226, subd. (a) (Non-Complaint Wage Statements); (7) Violation of California Labor Code, §§ 2800 and 2802 (Unreimbursed Business Expenses); (8) Violation of California Labor Code, § 2698, *et seq.* (Private Attorneys General Act of 2004); (9) Violation of California Business & Professions Code, § 17200, *et seq.*

The parties have reached a settlement. On August 8, 2024, the court issued an order granting Plaintiffs' motion for preliminary approval of the settlement and setting a final approval hearing for April 9, 2025.

Now before the court is Plaintiffs' motion for final approval of the settlement. The motion is unopposed.

II. Legal Standard

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However “a presumption of fairness exists where: (1) the settlement is reached through arm’s-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.”

(*Wershba*, *supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (s)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.)

Like its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O’Connor*, *supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum

even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. Terms and Administration of Settlement

This case has been settled on behalf of the following class:

[A]ll current and former hourly-paid or non-exempt employees of Defendant within the State of California at any time during the Class Period [January 25, 2019, to January 11, 2024].

(Declaration of Douglas Han, filed on March 13, 2024, Ex. 2 (“Settlement Agreement”),

¶¶ I(D), I(J).)

The settlement also includes a subset PAGA Class of aggrieved employees [hereinafter “PAGA Employees”] who are defined as “all current and former hourly-paid or non-exempt employees of Defendant within the State of California at any time during the PAGA Period [October 13, 2022, to January 11, 2024].”

According to the terms of the settlement, Defendant will pay a non-reversionary gross settlement amount of \$395,000. The settlement agreement provides that the gross settlement amount may be increased proportionately if the actual number of workweeks is determined to be incorrect by more than 10 percent. The gross settlement amount includes attorney fees up to 38 percent of the gross settlement amount (currently estimated to be \$150,100), litigation costs not to exceed \$20,000, a PAGA allocation of \$30,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments), service awards totaling \$10,000 (\$5,000 per class representative), and settlement administration costs not to exceed \$10,000. The court approves ILYM Group, Inc., as settlement administrator and administration costs not to exceed \$10,000.

The net settlement amount will be distributed to participating class members on pro rata basis according to the number of workweeks they were employed by Defendant. Similarly, the portion of the PAGA payment allocated to PAGA Employees will be distributed to them based on their number of paychecks received during the PAGA Period.

Checks remaining uncashed more than 180 days after mailing will be void and the funds from those checks will be distributed to Legal Aid at Work as the designated *cy pres*

recipient. Legal Aid at Work is a nonprofit organization providing civil legal services to the indigent and primarily devotes its resources to protecting to workplace rights of California's low wage workers. The court approves the designated *cy pres* recipient.

In exchange for the settlement, the class members agree to release Defendant, and related entities and persons, from all claims that were asserted, or that could have been asserted, based on the facts pleaded in the SAC occurring during the Class Period. The PAGA Employees agree to release Defendant, and related entities and persons, from all claims for PAGA civil penalties that were asserted, or that could have been asserted, based on facts pleaded in the SAC or the amended notice Plaintiffs sent to the LWDA. Plaintiffs also agree to a comprehensive general release.

In its order granting preliminary approval, the court approved ILYM Group, Inc. ("ILYM Group") as settlement administrator. On August 15, 2024, Defendant delivered class data to ILYM Group, including the name and mailing address of 206 class members. (Declaration of Nicole Bench ("Bench Decl."), ¶ 6.) On September 12, 2024, ILYM Group mailed class notices to 206 class members via first-class regular USPS mail. (*Id.* at ¶ 7.) The notices informed class members that the response deadline was October 14, 2024. (*Ibid.*) As of the date of Ms. Bench's declaration, March 3, 2025, five notices were deemed undeliverable by ILYM Group. (*Id.* at ¶ 9.) As of the same date, ILYM Group has not received any written disputes, written objections, or requests for exclusion from class members. (*Id.* at ¶¶ 10-12.) ILYM Group estimates that the average settlement share will be \$922.94. (*Id.* at ¶ 15.) The notice process has now been completed.

At preliminary approval, the court found the settlement to be fair and reasonable. Given that there are no objections, it finds no reason to deviate from that finding now. Accordingly, the court finds that the settlement is fair and reasonable for purposes of final approval.

IV. Enhancement Awards, Attorney Fees and Costs

Plaintiffs request enhancement awards in the total amount of \$10,000 (\$5,000 each).

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit.

Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.)

Plaintiffs have submitted declarations describing their participation in this case. Plaintiff Becerril estimates that he has spent over 35 hours working on this case, while Plaintiff Cruz estimates that he has spent over 30 working on this case. The court finds that service awards are justified, and the amounts requested are reasonable. Therefore, the service awards are approved in the amounts requested.

Plaintiffs’ counsel seeks an attorney fee award of \$150,100 (38 percent of the gross settlement amount). (Motion, pp. 2:15-17; 15:1-24:22; Declaration of Douglas Han, filed on March 7, 2025 (“Han. Decl.”), ¶ 8.) Plaintiffs’ counsel submits that Plaintiffs’ lodestar of fees incurred in this action is \$227,210 based on a total of 304.1 hours billed at rates ranging from \$500 to \$900 per hour. (Han. Decl., ¶¶ 10-13 and Ex. 1.) This results in a negative multiplier, suggesting the requested fee award is reasonable based on the range of multipliers that courts typically approve. (See *Wershba*, supra, 91 Cal.App.4th at p. 255 [“[m]ultipliers can range from 2 to 4 or even higher”]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases].) Plaintiffs’ counsel also references numerous instances in which California courts have granted fee requests amounting to 38 percent or more of the gross settlement amount. (Han. Decl., ¶ 14; Motion, pp. 17:10-18:9.)

The benefits achieved by the settlement justify an award of attorney fees to class counsel. The court finds that the requested attorney fee award is reasonable as a percentage of the common fund and approves an attorney fee award in the requested amount of \$150,100.

Plaintiffs’ counsel requests reimbursement of litigation costs in the amount of \$15,780.2 and presents an itemized list supporting that figure. (Han. Decl., ¶ 22, Ex. 5.) This is

less than the \$20,000 provided for in the settlement. The court finds the cost reimbursement request to be reasonable and therefore approves an award of litigation costs in the requested amount. The settlement administration costs are also approved in the requested amount of \$6,495, which is less than the \$10,000 maximum set by the agreement. (See Bench Dec., ¶ 17, Ex. 2.)

V. Conclusion

The motion for final approval of class and representative action settlement is GRANTED. The class as defined herein is certified for settlement purposes. The court sets a compliance hearing for December 3, 2025 at 2:30 p.m. in Department 19.

Plaintiffs shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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